Where does the customer buy? Outside option, seller A and seller B
All products included | stationary shares | $c_2 = 0.65$ | n = 101
Each bar sums to 100% of calendar periods. Seller B is absent in monopoly.

Monopoly | $\rho = 0.6$

Marginal OE | $\rho = 0.6$

Conditional OE | $\rho = 0.6$

Monopoly | $\rho = 0.7$

Marginal OE | $\rho = 0.7$

Conditional OE | $\rho = 0.7$

Monopoly | $\rho = 0.8$

Marginal OE | $\rho = 0.8$

Conditional OE | $\rho = 0.8$

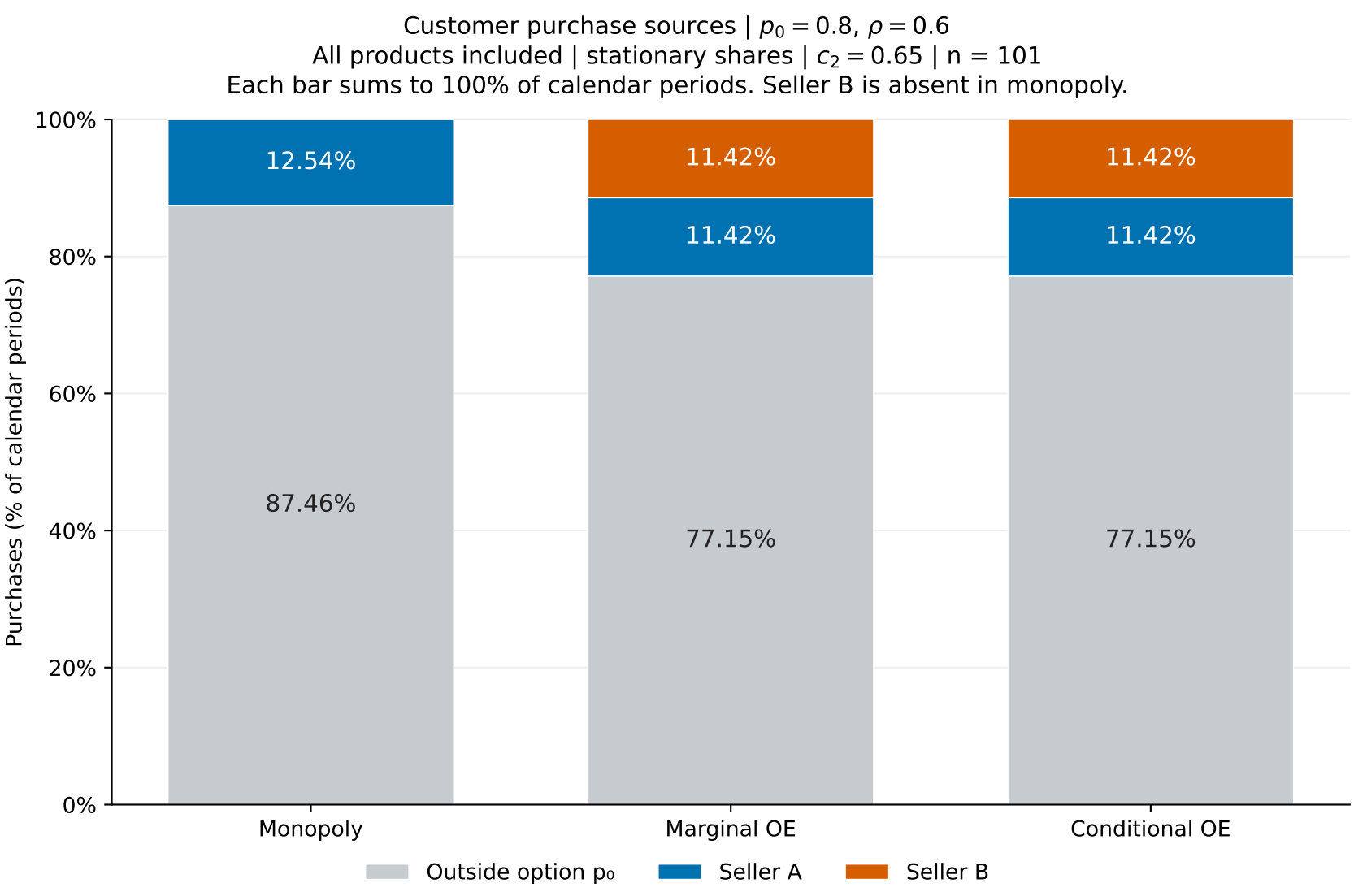
Purchases (% of calendar periods)

100%
80%
60%
40%
20%
0%

0.1 0.3 0.5 0.7 0.8 0.9

Outside-option quality p_0

Outside option p_0 Seller A Seller B


Customer purchase sources | $p_0 = 0.8$, $\rho = 0.6$
All products included | stationary shares | $c_2 = 0.65$ | n = 101
Each bar sums to 100% of calendar periods. Seller B is absent in monopoly.
Purchases (% of calendar periods)
100%
80%
60%
40%
20%
0%
12.54%
87.46%
11.42%
11.42%
77.15%
11.42%
11.42%
77.15%
Monopoly
Marginal OE
Conditional OE
Outside option p₀
Seller A
Seller B